

Fearnleys Tanker Market Wrap-up Jul 2026

Jul 31, 2026

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On again, off again - none the wiser

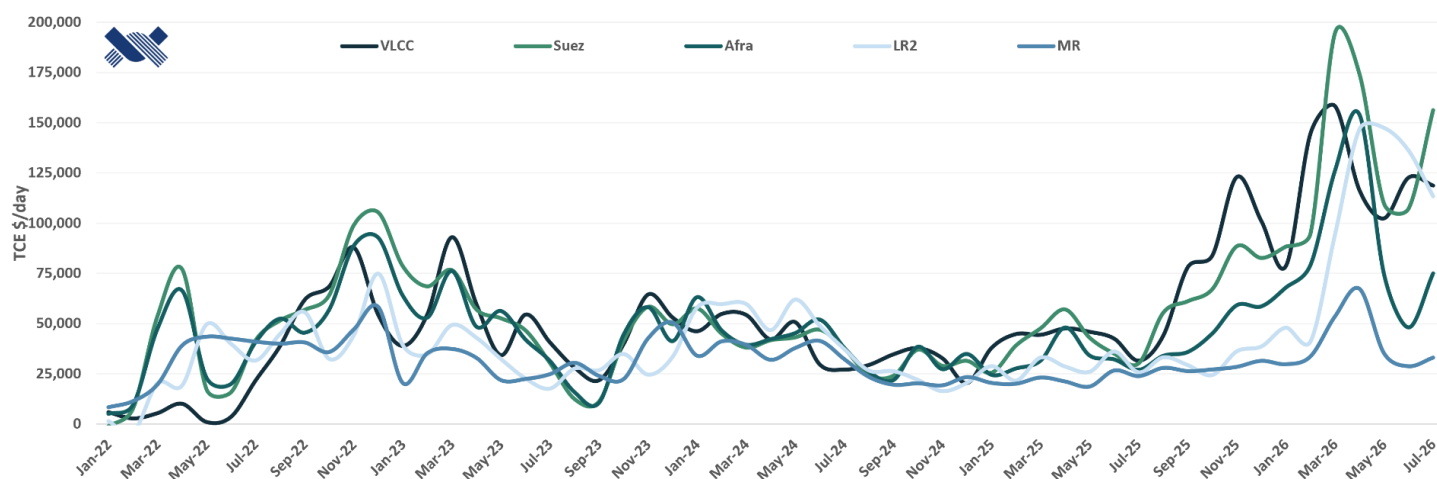
Summary and outlook

Rates have been unseasonably strong this summer, especially given the effectively failed MOU and renewed setback for MEG volumes. The conflict has widened, with more chokepoints and disruptions for tanker flows. Although volumes are down, these inefficiencies have led tanker tonne-day demand to new seasonal all-time-highs, which together with fleet consolidation helps explain continuing rate strength.

With refinery margins at historical highs and persisting crude oil supply deficits, there should be potential for more long-haul flows when Americas production grows further and seasonal local consumption declines. There may also be a willingness among refiners to absorb elevated freight cost - given current profitability, securing crude oil should be more urgent than it currently appears to be.

The outlook beyond the near-term depends almost entirely on geopolitics — a range of outcomes too wide to call. Accelerating fleet growth will eventually weigh on the market, though current inefficiencies continue to provide a meaningful buffer.

Monthly rates



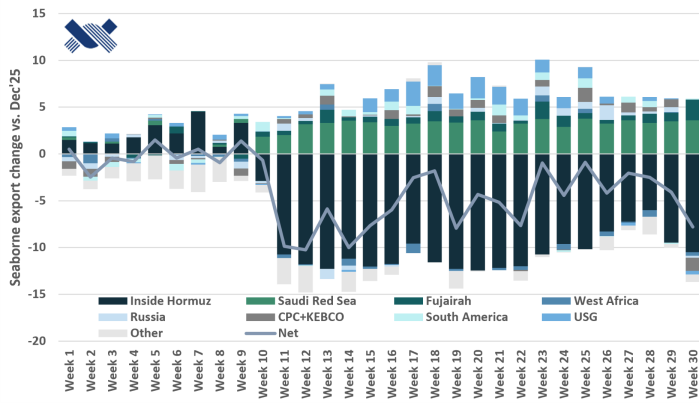
Source: Baltic, Fearnleys (VLCC changed from TD3c to TD15 from March 2026)

Volumes not quite going anywhere - demand supported by inefficiencies

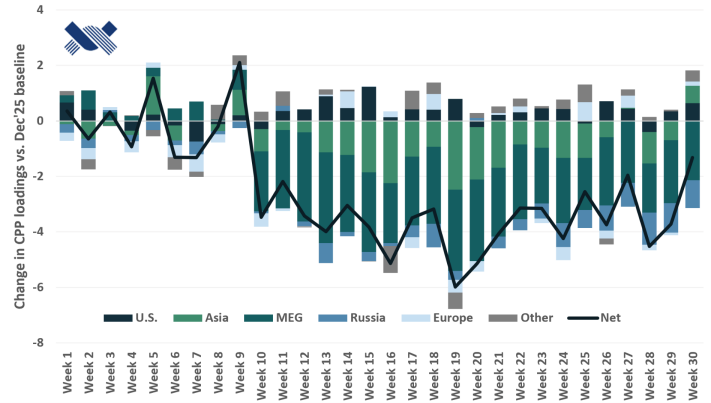
Following a surge through June and early July amid the U.S./Iran MOU, seaborne crude volumes have again declined in recent weeks as the ceasefire has not held. Hormuz transits remain higher than during the early days of the conflict, but far off the recent peaks. At the same time Americas exports have come off due to seasonally higher domestic consumption and exhausted inventory draws. From September onwards there should be some Americas rebound, whilst the MEG and now also partly Yanbu is rather uncertain.

There was not a similar uptick for products after the MOU, as MEG refineries remained offline and Ukrainian attacks on Russian refineries have ramped up (freeing up some more crude oil for exports). That has been partly offset by higher U.S. and Asian exports, but volumes have remained some 10-15% below pre-war levels. Thanks to crude market strength, however, there has been strong incentive for LR2s to dirty up again.

Seaborne crude loadings, vs. Dec'25



Seaborne CPP loadings, vs. Dec'25



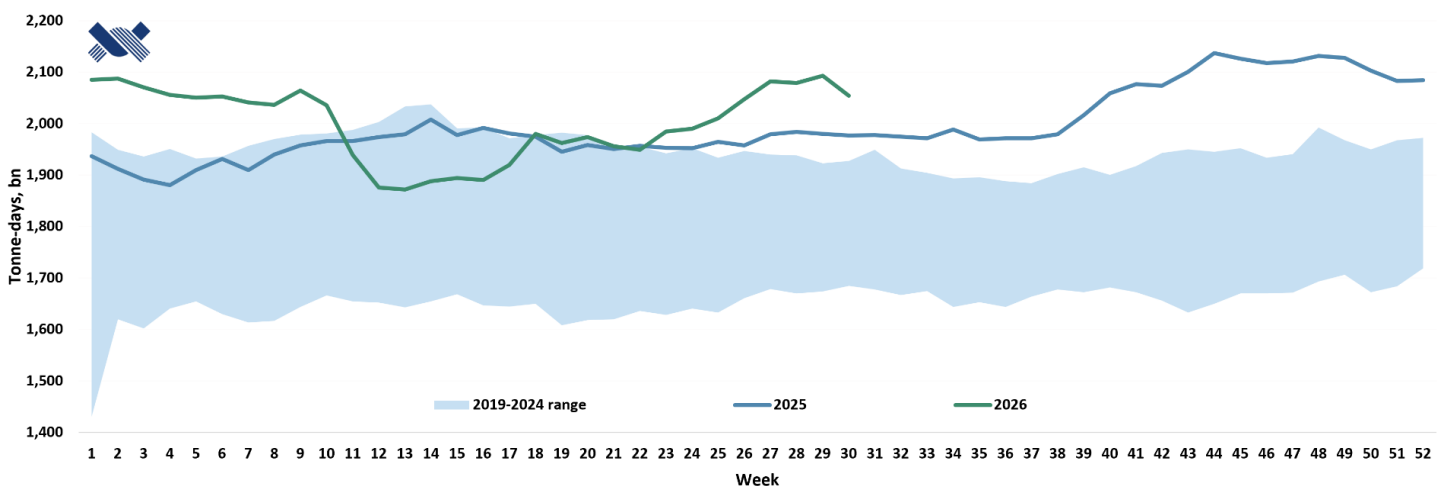
Source: Vortexa

A combination of earlier long-haul fixtures and a rush out of the MEG over the last month (our July MEG and surrounding areas VLCC fixture count was nearly back to normal) has led crude tanker tonne-mile demand nearly back to normal recently. However, there is some downside risk near-term due to a lack of a west-east arbitrage and renewed escalation in the Middle East reducing flows. That may be partly offset by Saudi Red Sea exports diverting north rather than going through the Bab-el-Mandeb.

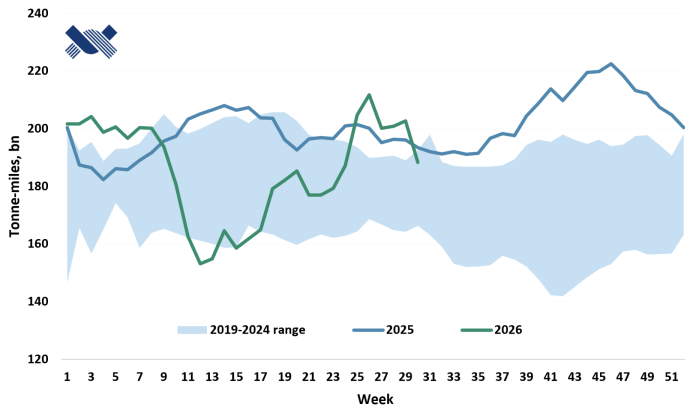
Product tanker tonne-miles demand remains sluggish due to persistent low volume, although the effect on the market balance has been offset by LR2s dirtying up. Extremely strong refinery margins should ensure maximum runs in the areas where capacity is available (although there is also a risk that this might induce unplanned outages) and that there may be room for high freight wherever arbitrages exist.

Overall, tanker tonne-miles are down 8% YTD vs. the same period last year, and most recently down more. However, looking at tonne-days, which also accounts for waiting time and other inefficiencies, YTD demand is actually up 2% and recently at a seasonally adjusted all-time-high, which better helps explain rate strength.

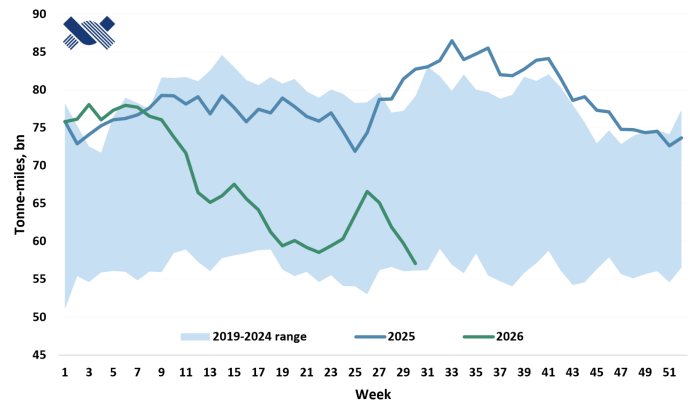
Total tanker tonne-day demand (+2% YTD)



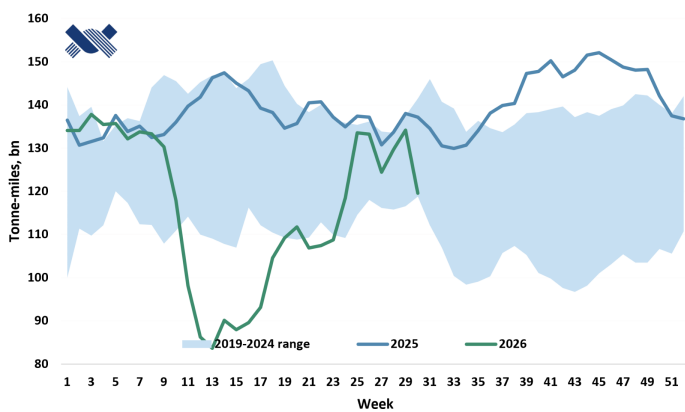
Crude tanker tonne-mile demand (-6% YTD)



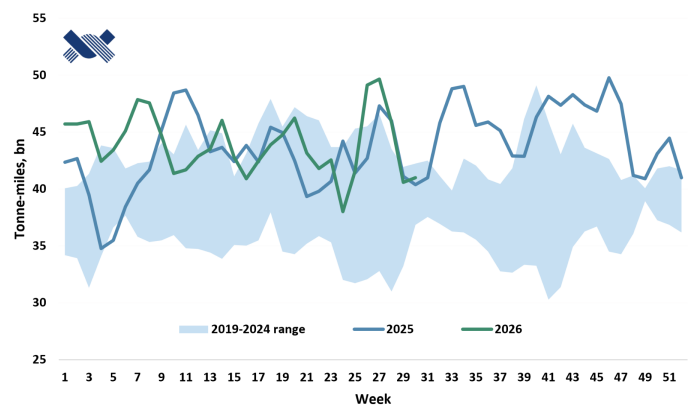
Product tanker tonne-mile demand (-12% YTD)



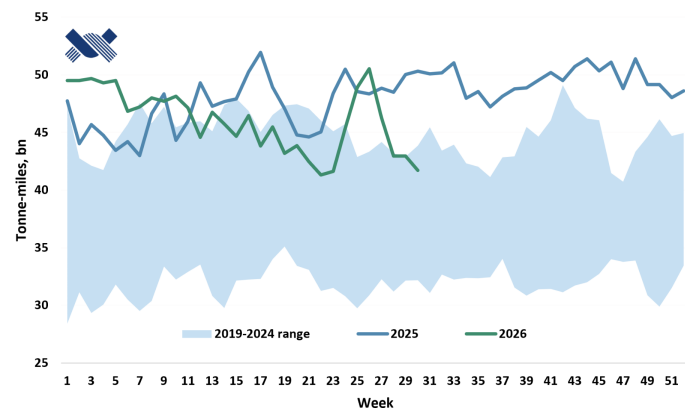
VLCC tonne-mile demand (-15% YTD)



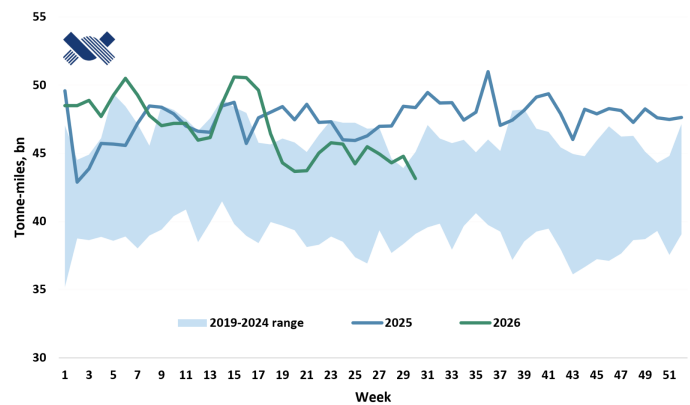
Suezmax tonne-mile demand (+3% YTD)



Afra/LR2 tonne-mile demand (-2% YTD)



MR tonne-mile demand (-1% YTD)



Source: Vortexa

Houthis entered the chat

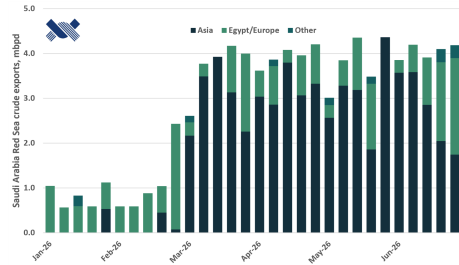
Saudi Arabia's Red Sea crude oil exports the last few months have been about 4 mbpd (about 10% of the global) and 400-500 kbpd of products. The main (crude) ramp-up since March has gone to Asia. After attacks on Saudi owned ships and oil infrastructure, insurance for loading in Yanbu is hard to come by and many owners shy away. A number of cargoes has diverted north so far, rather than risking the Bab-el-Mandeb - another layer of shipping inefficiency.

There are three (main) possible trajectories: no further escalation and consequently little market impact, Continued Houthi attacks on Saudi Arabia's Red Sea ports or East-West pipeline pumping stations (bullish oil, bearish freight), or

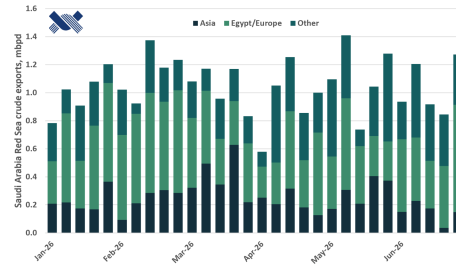
Houthi attacks and an effective closure of the Bab-el-Mandeb for Saudi's exports (bullish freight). Assuming a full replacement gives a distance effect of 2-2.5x – a significant tonne-mile boost, benefiting VLCCs and Suezmaxes the most.

For products there is not the same potential market impact as most volumes were already heading north.

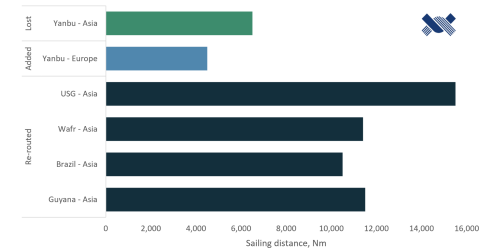
Saudi Red Sea crude flow by destination



Saudi Red Sea product flow by destination



Sailing distance comparisons



Source: Fearnleys, Vortexa

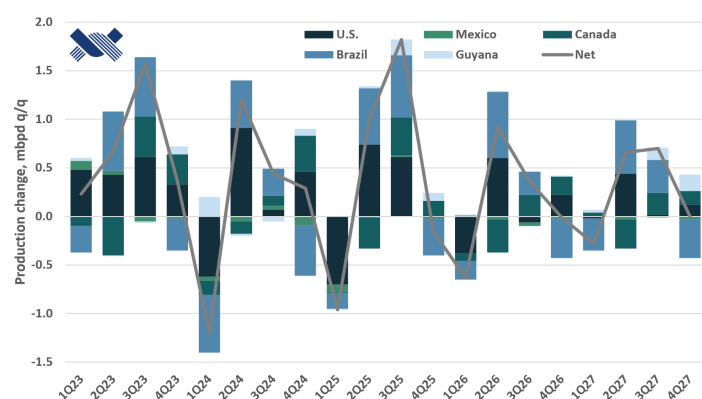
Oil market still undersupplied - crack spreads flying

Going forward volume development will mostly depend on the geopolitical situation, with recent incidents in the Hormuz Strait, Bab-el-Mandeb, CPC and now also Egypt highlighting the risks to global oil supply. The latest production shut-in estimate of slightly less than 8 mbpd is well above the 13 mbpd at most earlier this year, but still implies a shortage vs. resilient oil demand in most areas.

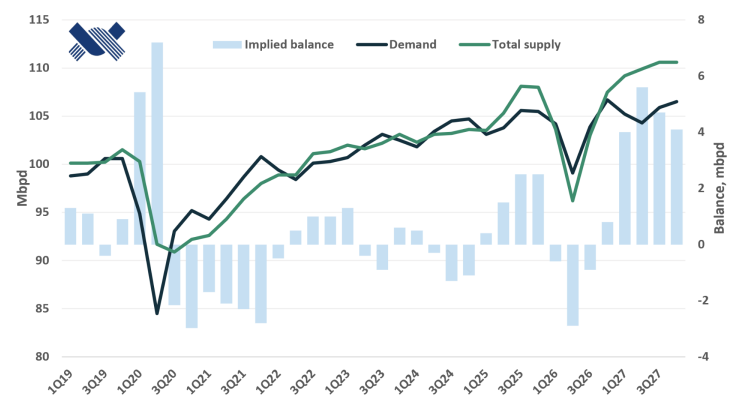
There may be some upside to (seaborne) flows in the near-term, regardless of geopolitics. Americas crude oil production is expected to increase somewhat further, following meaningful growth in recent months (one new 180 kbpd FPSO online in Brazil in May and solid U.S. shale growth), with overall output expected to be 0.5 mbpd higher in Q3'26 vs. the same quarter last year (at which time output also increased substantially). As driving season ends and refinery runs decline from September, there should be some more crude available for exports in coming months - with the delta likely headed long-haul to Asia (unless CPC outages persist and Europe needs replacement barrels).

Going into next year there is substantial upside potential IF there is a resolution to the (widening) Middle East conflict, which remains a big IF - a meaningful separate discussion which highlights the wide range of outcomes also for tanker demand and rates next year. On the upside, a full normalisation with potential race to the bottom where all oil producers maximise output to make up for lost volume this year, could lead significant tanker demand tailwinds. On the downside, continued conflict, production shut-ins and high enough oil prices to bring demand destruction could lead to tough headwinds.

Americas crude oil production change Q/Q



Global oil demand vs. supply



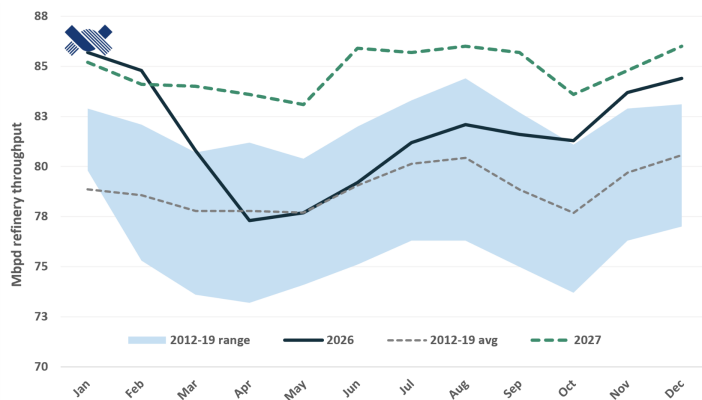
Source: EIA, IEA

Refinery margins have again reached historical highs, on constrained global capacity and resilient demand. This incentivises the refiners who can to run at maximum capacity and should underpin product tanker volumes. Any meaningful upside, however, depends more on geopolitics, with little new capacity expected to be added near-term in unaffected areas.

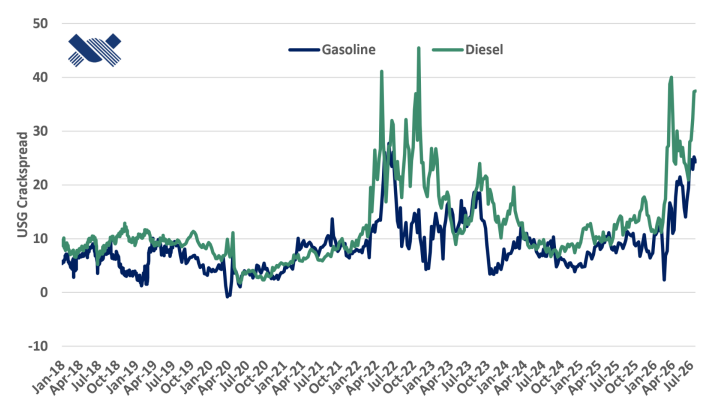
Therefore, product tanker demand may remain somewhat stagnant near-term, other than at times driven by geographical price discrepancies and arbitrages.

Given strong profitability it is a bit surprising that (Asian) crude buying appetite is not stronger, indicating some level of complacency still (waiting for another MOU..?) - which is also evident in the futures market which hardly reflects recent attacks on key oil infrastructure. Should MEG outages persist, we would expect the West-East crude arbitrage to reopen - and high freight cost should in theory easily be absorbed considering high refinery margins.

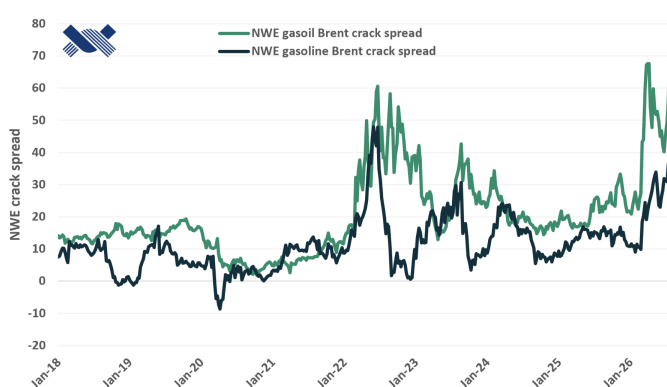
Global refinery runs



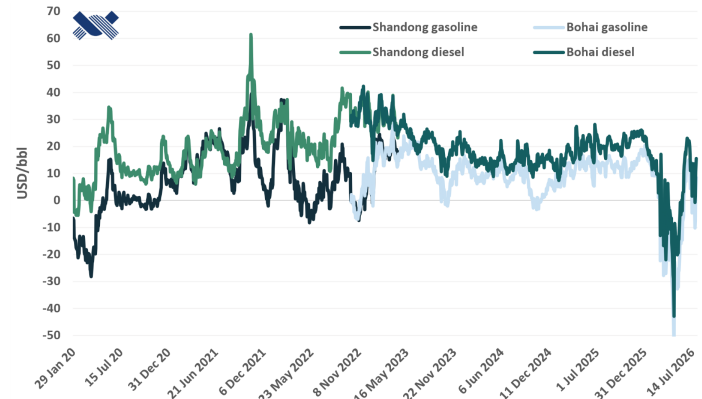
U.S. Gulf Coast crack spreads



Northwest Europe crack spreads



Bohai Bay crack spreads



Source: IEA, EIA, Bloomberg, Argus

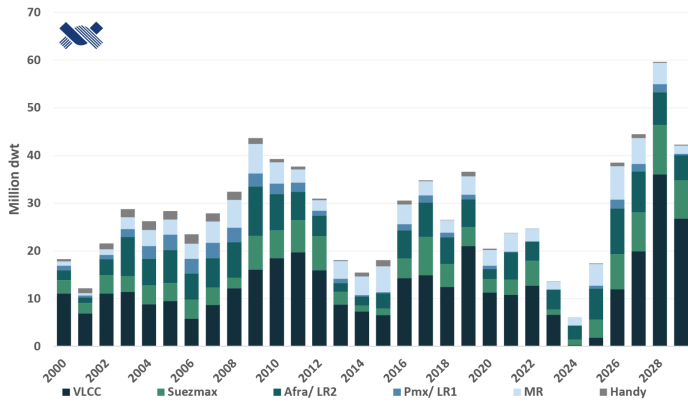
The 'only' known is that fleet growth picks up

During the first half of the year the total tanker fleet grew by 2.6%, nearly as much as the two preceding years combined. Growth has been led by LR2s, Suezmaxes and MRs so far. Another 3% is expected through the remainder of the year, and about 6% next year. At current rates any meaningful phase-out is highly unlikely, although the odd ship has left the fleet also this year.

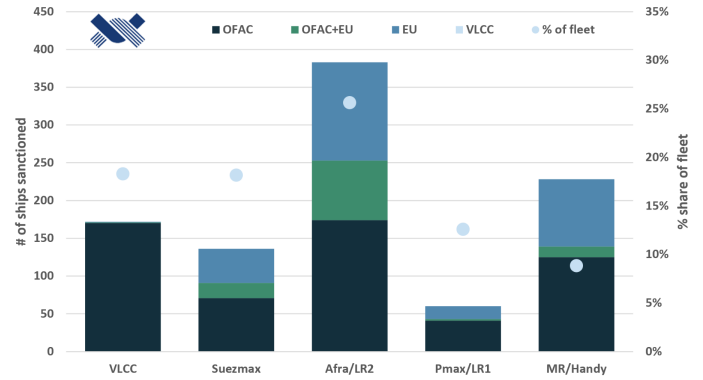
The only mitigating factor for fleet growth may be if the Middle East conflict escalates, and the U.S. tightens enforcement of sanctions including seizing or disabling more ships, which may eventually give a need for Iran to renew the shadow

fleet. Or similarly vs. Russia. About 18% of the tanker fleet is currently sanctioned, which should offer enough flexibility for the sanctioned trades, but harsh enforcement may necessitate new workarounds.

Annual tanker deliveries, +42k dwt



Sanctioned fleet



Source: Fearnleys, OFAC, EU, UK



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